

WHY NOT AN ASSET CLASS?

Why are they called instruments rather than asset classes? Return potential is very high in all derivative instruments. However, these come with a very high degree of risk attached to it. As a result, we cannot park or invest long term money here because it is critical for our financial goals. We do not want our long term money that is tied to financial goals to have so much volatility and instability. We want more 'Staying Power' in our assets and because derivatives lack 'Staying Power' and 'Store of Value' functions, they cannot be considered as an asset class.

RISK OF BANKRUPTCY

While investing in derivatives, we may have to pay a small amount such as Rs 100 to get an exposure of an asset of, say, Rs. 1000. That Rs. 100 is the margin. Now in such cases, we may have invested only a small amount of money, but our portfolio is exposed to the risk of much more than that. If the deal does not work out in our favor, we will have to pay anything up to Rs 1000. In this situation, the amounts are very low, but a majority of such contracts have a risk exposure in lacs and crores. Due to this, we may go bankrupt overnight. We do not want to expose your portfolio to such risks unless you have the time and skills to invest in such instruments. Hence, we should stay away from these instruments completely.

WHY WERE THEY CREATED?

Derivatives were created as a risk management instrument for banks and for large investors who have large exposures to different assets. So, they use derivatives as a hedging instrument i.e. to increase or decrease exposure in short term without actually buying or selling an asset. So, derivatives are a risk management instrument rather than an investment instrument.

Trouble begins when financial instruments are used for purposes other than the ones they were created for. As a result, most individuals are better off away from derivative instruments. Legendary investor, Warren Buffet says that derivatives are 'Weapons of Mass Destruction.' Years of effort can be lost in a few hours using derivatives.